



Business Studies

Business Orgnizations

ANJULA UDANI

GCE ADVANCED LEVEL ENGLISH MEDIUM

Lesson 4 - The Importance of Establishing and Maintaining Different Types of Business Organizations Formally

Organization

- A social unit made up with a group of individuals joining together and having a common goal is an organization.

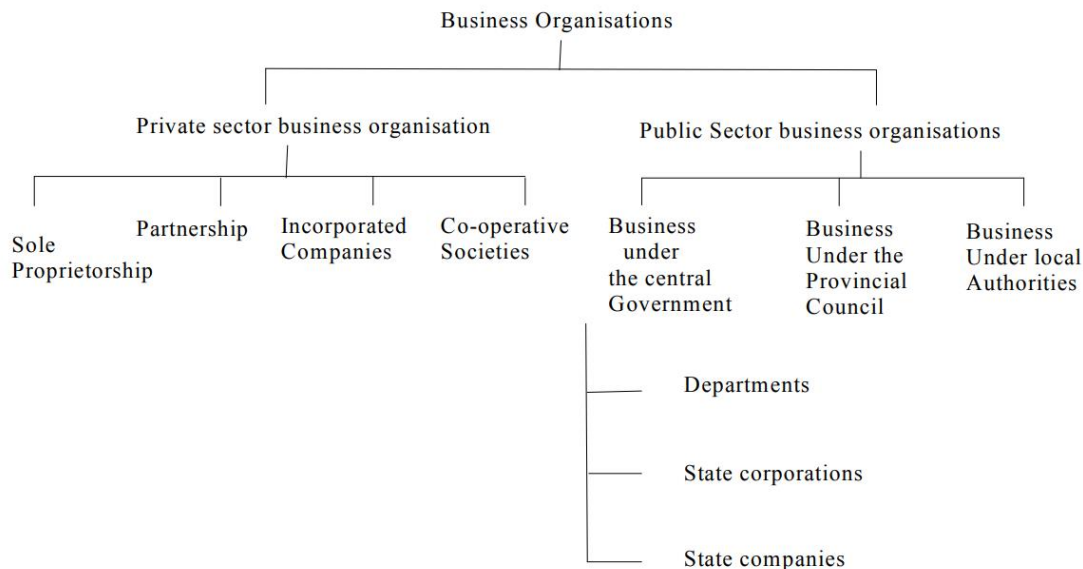
Examples:

- School
- Temple
- Church
- Shop

Common Characteristics of a Formal Organization

- ❖ Has a goal
 - ❖ Involves individuals
 - ❖ Has an organizational structure
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- Business organizations are the enterprises engaged in production, distribution and selling of goods and services with the objective of earning profits or achieving social wellbeing.
 - Business organizations can be categorized as private sector businesses and public sector businesses based on ownership.

- Classification of businesses based on ownership can be shown as a flow chart:



The Importance of Formally Establishing and Maintaining Different Types of Business Organizations

Sole Proprietorship

- Where the ownership of the business is held by a single individual it is called sole proprietorship.

Examples:

- Chanuli Super Centre
- Dasatha Book shop
- Imalka saloon

Significant Characteristics of a Sole Proprietorship

- The owner provides the capital required on his own,
- All managerial decisions are made by the owner
- The unlimited liability of the owner
- Not a legal entity.
- Registration is not compulsory.
- Enjoy profits and losses alone.

- Faces risks alone.
- No continuity
- Accounting is not compulsory.
- Not liable for the taxes in the name of the business.

Advantages of a Sole Proprietorship Business

- Easy to initiate
- All the profits belong to the owner.
- Ability of independent decision making.
- Fewer rules and regulations are applicable.
- The ability of keeping the business information confidentially.
- Termination of the business is convenient.
- Possibility of maintaining direct relations with the customers
- Control is convenient.

Limitations of a Sole Proprietorship Business

- The unlimited liability of the owner.
 - The problems/ difficulties will increase when needed the additional capital.
 - Possibility of the decisions, made by the owner himself being unsuccessful.
 - Not a legal entity
 - No continuity
 - Management being inconvenient with the expansion of the business.
 - Bearing losses alone.
- If a sole proprietorship business is carried on in a name other than the full name of the owner, then it's compulsory to register the business name in the provincial council's provincial Business name registrar under the business name ordinance No 6 of 1918.
 - On the practical note this registration can be performed at the relevant divisional secretariat office of the area.
 - When the registration is done, the following procedure should be followed.
 - Obtaining an application form for the registration of business names of a sole proprietorship business from the divisional secretariat office of the area.
 - Obtaining report for the registration of a business name from the relevant Grama Niladari.
 - Submission of the completed registration form, the report obtained from the Grama Niladari and relevant registration fee to the divisional secretary.
 - Issue the certificate of registration of the business name by the divisional secretary after having examined the relevant documents above.

Partnerships

In the Partnership Ordinance 1890 the partnership is defined as follows:

- The relationship between the individuals who carry out a business with a profit motive is Partnership.
- According to the above definition the following characteristics must be there in a partnership,
 - ❖ Profit generating objectives.
 - ❖ The existence of business activity.
 - ❖ Existence of individuals.
 - ❖ Having a mutual relationship.

Example –

- Gunawardena & Sons
- Don Carolis & Sons

Key Characteristics of the Partnership

- ❖ There should be a minimum of two partners and a maximum of twenty partners.
- ❖ There must be an agreement between the partners
- ❖ Having an agreement on profit sharing.
- ❖ Every partner is an agent and a head of himself and other partners.
- ❖ The existence of any kind of business affair.
- Partnership agreement is the terms and conditions agreed on by the partners at the beginning of a partnership regarding its initiation and succession.
- A partnership agreement can be oral or written or implied.
- The written agreement between the partners is known as the partnership deed or the partnership constitution.
- A partnership deed is important for the following reasons.
 - The ability to solve any disagreement or conflict which may arise among the partners.
 - Convenience in carrying out the partnership activities.

- A partnership deed will include the following information.
 - Basic information about the business.
 - Ex: Business name, Names and addresses of the partners, nature of the business, time duration of the business.
 - Details about the investment of capital
 - Information on sharing profits and losses.
 - The objective of the partnership
 - Limitations on partners' drawings
 - Information about interest on capital and drawings.
 - Conditions on the dissolution of the partnership.
 - Conditions on the investment of the additional capital
 - The action to be taken in the event of an admission of a partner, retirement of an existing partner or the death of a partner.
- Any expenditure incurred by the partner personally on behalf of the partnership must be reimbursed to the partner.
- Partners are entitled to a 5% interest on the money invested in addition to the agreed capital.
- No partner is entitled to an interest on capital
- Every partner has the right to participate in the management of the business.
- No partner has the right to receive a salary for the services rendered to the partnership.
- A new partner cannot be admitted to the partnership without the consent of the existing partners.
- The regular disagreement which occurs in the partnership can be solved by taking the decisions made by the majority. Anything which changes the true of the partnership can be put into effect only if there is an agreement among all the partners.
- While the books of accounts of the partnership should be kept at the head office, a partner has the right to inspect them at any time and take copies of the accounts,
The registration process of the partnership is like the registration process of the sole proprietorship.
- Several advantages of partnership business are given below:
 - Easy to commence.
 - Can be dissolved easily
 - Possibility of gathering immense capital
 - Ability to make use of multiple skills and talents of people.
 - The liabilities will be distributed among many partners.
 - Through collective liability, enthusiasm and efficiency will be enhanced.

- Some limitations of partnership are given below:
 - The liability of the partners is unlimited.
 - The disagreement and disputes between the partners can adversely affect the business.
 - There is no continuity.
 - All the partners are liable to the conduct of a single partner.
- A sole proprietorship and a partnership can be compared as follows:

Criteria	Sole proprietorship	Partnership
No of members	Single individual	Minimum 2 maximum 20
Capital investment	Invest by the owner alone	Invested by the partners
Management	Is performed by the owner	Performed by the partners
Liability	Solely responsible	Collectively responsible
Entitlement to profits/losses	Enjoys alone	Shared collectively
Decision making	Independently	Collective decision making
Dissolution of business/ termination	There is no dissolution. Termination of the business can be done as desired.	Dissolution may be voluntary or as a result of a court order.

- A collection of individuals incorporated under the companies act No. 7 of 2007 can be introduced as a company.

Ex: –

- Aralia company Ltd
- Pratheebea Company (Pvt.) Ltd

Given below are some specific characteristics of incorporated companies

- ❖ Being an independent entity incorporated under the Company Act.
- ❖ Becoming an independent legal entity that is distinct from its shareholders.
- ❖ Continuous existence or ability to have perpetual succession.
- ❖ The liability of members / shareholders being limited.
- ❖ Accumulation of capital, through share issues.
- ❖ Ability to transfer shares.
- ❖ The management is being carried out by the board of directors.

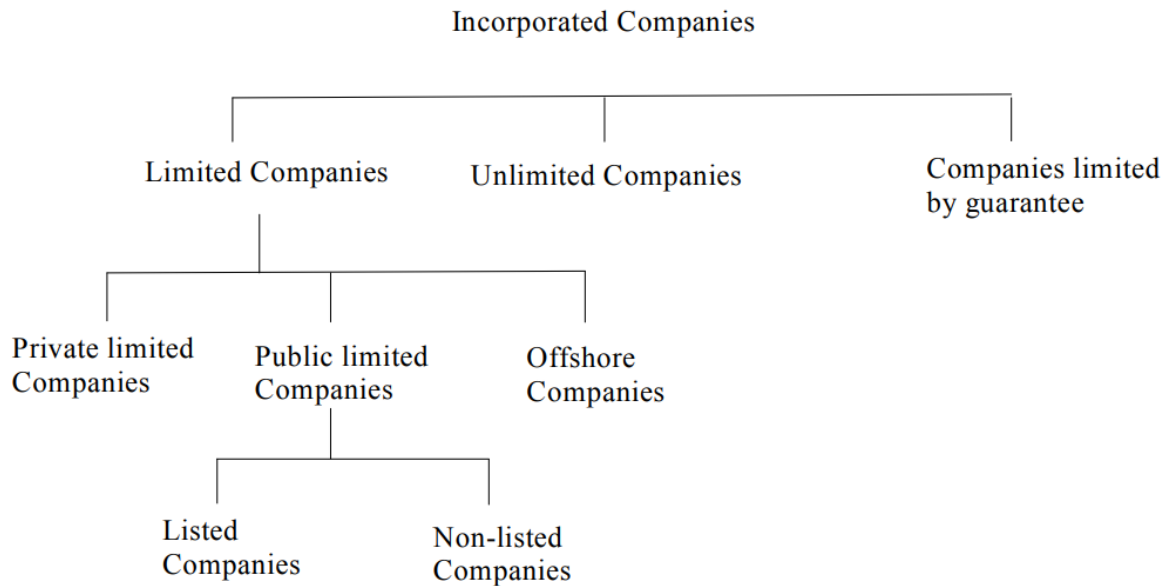
Some advantages of limited companies are given below

- ❖ Ability to raise a large amount of capital
- ❖ The possibility of beginning large-scale businesses.
- ❖ Ability to recruit a smart management team to carry out its business affairs.
- ❖ Ability to attract new investors because of the limited liability of shareholders.
- ❖ The death or resignation of a shareholder does not have any adverse effect on the business.
- ❖ Ability to assemble qualified and skillful human resources.
- ❖ The business has a legality.

Some limitations of limited companies are given below

- ❖ Legal impacts being strict
 - ❖ Procedure of establishment being complicated and expensive.
 - ❖ Since the voting power is based on the number of shares held by each shareholder (1 vote for 1 share), minority shareholders are not strong enough in influencing management decisions.
 - ❖ Profit is subjected to double taxation because tax is levied on the profit of the company as well as on dividends paid to the shareholders. Even the procedure of dissolution being complicated.
 - ❖ The incorporation of a company should take place according to the companies act of a particular country, while in Sri Lanka the incorporation of a company is exercised in accordance with company act No.7 of 2007 and registered with company registrar at the department of company registrar.
- The following procedure should be followed when incorporating a company.
 - Register the name of the company.
 - When it is confirmed that the proposed name of the company is not similar or identical to the name of an existing company, the following documents must be submitted for the registration.
 - Application for the registration of the company.
 - The articles of association
 - The statement containing the consent of each founder to act as the director
 - The statement containing the consent of the founder secretary to act in that company
 - The most important document to be submitted to the registrar of companies is the Articles of Association which contain the objectives of the company, the rights and responsibilities of the shareholders, information about the management and administration etc.

- After the Registrar of Companies has satisfied himself that all documents are in order and that the relevant fees have been paid, he will issue the Certificate of Incorporation.
- As per the Companies Act No.7 of 2007, the following types of companies can be incorporated.



Limited Companies

- A company where the liability of the shareholders is limited to the amount paid or agreed to pay, in respect of the shares purchased, can be introduced as a limited company.
- There are three types of limited companies.

Private Limited Company

- Companies that do not have the authority to issue shares or other securities to the public and have a minimum of 1 and a maximum of 50 shareholders are known as private limited companies.

Some characteristics of a private limited company are given below:

- ❖ The minimum number of shareholders is one and the maximum is 50. This maximum does not include the shareholding staff members of the company.
- ❖ The minimum number of directors is 1.
- ❖ The shares of the company cannot be sold to the public.
- ❖ Without assuring the credit rating of the company, the profits can be distributed as per the desire of all shareholders.

Examples of Private Limited Companies

- ❖ Central depository (Private) Ltd
- ❖ Lanka clear (PVT) Ltd
- ❖ Sri Lanka Electricity (Private) Co. Ltd

Public Limited Company

- Companies having the authority to issue shares and debentures to the public and having a minimum of one shareholder with a maximum of unlimited shareholders can be identified as public limited companies.

Characteristics of Public limited companies are as follows:

- ❖ Having a minimum of 1 shareholder and maximum of unlimited number of shareholders.
- ❖ The minimum number of directors being two.
- ❖ The ability to issue shares or securities in public.
- ❖ An insolvency test is required prior to the distribution of dividends to the shareholders.

Listed Public Companies (Quoted Companies)

- A company listed in the Colombo Stock Exchange is known as the 'Quoted (listed) companies'

Ex: -

- DFCC bank PLC
- Ceylinco PLC

Unlisted Companies (Unquoted Companies)

- Companies that are not listed on the Colombo Stock Exchange are known as unlisted companies.

Ex: -

- Ceylon Biscuit company LTD
- Maliban Biscuit Co. LT

Offshore Companies

- A company incorporated in a particular country but carrying on its business activities outside the country is known as offshore companies.
- These companies also should be registered in accordance with the Companies Act of the country where they are carrying out their activities.

Ex: -

- ❖ For a Sri Lankan company to be able to carry on its business activities in Singapore it is necessary to be registered in Singapore as well.

Examples:

- Sunrecko Marine Company
- Asia Pacific Company

Unlimited Companies

- The liability of shareholders is unlimited companies where according to the articles of association, the liability of the shareholders, not being limited to the value of the shares that have been issued, are known as unlimited companies.

Companies limited by Guarantee

- Where an issue of shares does not take place, but the liability of the members is limited to a guaranteed amount as stated in the Articles of Association, such companies are known as companies limited by guarantee.

Examples: -

- Colombo Stock Exchange (GTE) Ltd.

Characteristics of a Company Limited by Guarantee

- ❖ An issue of shares not being practiced.
- ❖ The extent of the contribution of each member in the event of winding up the company must be specified in the Articles of Association.
- ❖ Minimum number of members being two and maximum not being limited.
- ❖ Sharing profits not being performed in such a company, Establishment of focusing on the public purposes.

Overseas Company

- A company that has been established in Sri Lanka but has been incorporated outside Sri Lanka is known as a foreign company.
- A foreign company that has been established in Sri Lanka must, submit details about itself within a period of a month to the Registrar of Companies in Sri Lanka.
- The Registrar of companies will inspect the documents submitted and if satisfied, for one month its name will be added to the list of foreign companies as a registered foreign company.

Example:

- Hongkong and Shanghai Banking Corporation (HSBC)

- The following criteria are followed when different types of companies are compared.
 - ❖ No. of members
 - ❖ Liabilities
 - ❖ The raising of capital
 - ❖ Administration and management

Criteria	Private Limited Company	Public Limited Company
No. of members	Minimum 01 Maximum 50	Minimum 01 Maximum Unlimited
Liability	Limited to the value of shares purchased	Limited to the value of shares purchased
Capital Raising	Shares/ securities can't be issued to the general public	Shares can be issued to the general public
Administration and management	Carried out by a board of Directors Minimum 1 director	Carried out by a board of Directors. Minimum 02 directors.

Co-Operative Business

- The international co-operative alliance has defined the co-operative sector business as follows:

“A co-operative is an autonomous association of people united voluntarily in their common economic, social and cultural needs and aspirations through a jointly owned and democratically controlled enterprise.”

Examples:

- Maharagama Multi-purpose Co-operative society Ltd
- Cloth- weavers’ co-operative society Ltd
- Fisheries co-operative society Ltd.

Key Characteristics of a Co-operative Business

- ❖ An independent business organization
 - ❖ Consist of a group of individuals who have got together voluntarily.
 - ❖ Collective ownership of its members.
 - ❖ Having common needs and expectations.
 - ❖ Democratically controlled business.
 - ❖ Value of a share is unchanged (Value of a share is Rs.100)
 - ❖ Having one vote for each member (one man one vote)
 - ❖ Any surplus that is earned will be distributed to the members according to the value of the transaction each member has performed with the co-operative society.
 - ❖ Profit making is not the initial objective.
- The 1995 General Assembly of the International Co-operative Alliance held in Manchester has stated its co-operative policies as follows:
 - Voluntary and open membership
 - Democratic control of members
 - Member economic participation
 - Autonomy and independence
 - Co-operative education, training and provision of information.
 - Co-operation among co-operatives regionally, Nationally and internationally
 - Concern for the community.

Benefits of a Co-operative Society

- ❖ 10 people can get together to initiate a co-operative society conveniently at a low investment.
- ❖ The existence of democratic control
- ❖ The provision of goods and services at a reasonable price.
- ❖ The ability to engage in different types of business activities in different fields.
- ❖ Engaging in activities with mutual co-operation
- ❖ Any surplus gained by the society is distributed among the members. (contributor reimbursement)

Limitations of a Co-operative Society

- ❖ Limited means of fund raising
- ❖ Restricted to co-operative policies.
- ❖ Co-operative outlets are open for only a limited time in a day.
- ❖ Public sector interference
- ❖ Credit sales don't take place.
- ❖ Most probably the board of management will be inefficient, since they are elected by voting.

The Procedure to be followed when registering a co-operative society

- ❖ This is registered under the co-operative development commissioner of the co-operative development department in accordance with the co-operative's societies act No 05 of 1972 under the co-operative development commissioner of the relevant provincial council.
- ❖ To get a co-operative society registered, any 10 people who are above 18 may apply to the co-operative development commissioner together with the following.
 - Application form
 - 2 copies of the interim constitution
 - Feasibility report of the proposed economic activity
 - The minutes of the general meeting at which the resolution for the registering of the co-operative society was approved.
 - A certificate ascertaining that all those who have signed the application form have paid their membership fee and that this fee is under the custody of the working committee.
 - A route map giving directions to the address of the society.
- When the co-operative development commissioner has inspected and confirmed that the documentation supporting the application for the registration is in order in accordance with the co-operative act, he will issue a certificate of registration.

Emerging Trends in Co-operative Societies

- ❖ The commencement of modified self-service outlets.

Example:

- Co-op city
- co-op super

- ❖ Approaching new business fields

Examples:

- Co-operative insurance
- Fuel Filling Stations etc.

- ❖ Usage of electronic payment system.
- ❖ Opening of mobile shopping centers.

Proposals for the Development of Co-operative Societies

- ❖ Extending the business hours.
- ❖ Directing attention to the possibility of selling on credit terms.
- ❖ Selecting experienced, effective and skillful persons to the management board.
- ❖ Usage of various promotional strategies
- ❖ Expansion of self-service outlets.
- ❖ Arranging showrooms for consumer attraction
- ❖ Increasing the benefits of the members
- ❖ Launching a member promotion propaganda
- ❖ Application of modern technology in provision of consumer service.

Franchises

- The types of business organizations which is conducted by a particular business firm involved in provision with a certain goods or service and to assign the authority of selling that good or the service to another business organization in a specific trade zone are known as franchises.
- Two main parties are involved in a franchise business.
 - Franchisor – This is the franchising company that permits the franchisee company to market the products under its brand name.
 - Franchisee – This is the organization that receives permission from the franchisor

Franchisor	Franchisee
Mc Donald	Abans Restaurants (Pvt) Ltd
KFC	Cargills Ceylon Limited
Pizza hut	Gamma Pizza craft Lanka (Pvt) Company

- The agreement between the franchisor and the franchisee at the commencement of the franchise business is called the “Franchise Agreement”
- Under this agreement while the franchisee receives permission to use the franchisor’s trade name, logo and brand, the agreement includes the rules and regulations of the franchisor, the services provided by the franchisor and the financial conditions, the initial payment the franchisee should make and details of the monthly royalty payments.

As per the agreement the franchisor provides the following support services to the franchisee.

- Granting permission to use the trade name.
- Provide management training
- Provide marketing assistance
- Provide financial assistance.
- Helping in the completion of the layout of the business.
- Supplying the products or goods and equipment.
- Provide the required technical knowledge.

According to the agreement the franchisee should fulfil the following.

- Agree to act in accordance with the conditions of the franchisor
- Making capital investment
- To make purchase of goods only from the franchisor or his authorized suppliers.
- To make the payments as agreed with the franchisor

Franchised businesses can be categorized as follows:

- Product franchises
- Manufacturing franchises.
- Business format franchises.

Product Franchises

- Franchises such that the franchisee receives authorization to purchase goods from the franchisor with the brand name and to resale them are known as product franchises

Examples:

- Outlets selling petroleum products (IOC Fuel stations)

Manufacturing Franchises

- There are franchises where the franchisee receives the authority of manufacturing and distributing the products under the franchisor's brand name.

Examples:

- An organization that bottles and distributes soft drinks like Coca cola, Pepsi cola etc.

Business Format Franchises

- This is where the franchisee receives permission to carry on the business following the franchisor's procedure and with his brand name.

Examples:

- Outlets like McDonalds, KFC, Pizza Hut where meals are manufactured and supplied.

Benefits of the Franchise Business Model

- ❖ To the franchisor
 - Ability to expand his business without further investment
 - Ability to share the costs of advertising with the franchisee
 - Ability to obtain returns from the investment of the franchisee
 - Ability to obtain spontaneous returns with the franchisee's efficiency
 - Being nourished by the franchisee.
- ❖ To the franchisee
 - Ability to acquire a large market niche from the goodwill of the franchisor
 - Declining the tendency to be unsuccessful
 - Publicity being convenient because of a popular trade name
 - Ability to get management training from the franchisor
 - Possibility of receiving financial support from the franchisor
 - Ability to obtain raw materials at a minimum price.

Limitations of Franchise Businesses Model

- ❖ To the franchisor
 - The franchisee's un-success may affect adversely on profits
 - Any unfavorable activities of the franchisee can have an adverse effect on the goodwill of the franchisor
 - Retention of most of the profits earned by the franchisee himself.
- ❖ To the franchisee
 - Because the franchisor retains his control, the franchisee does not get perfect autonomy
 - Need of incurring a greater cost to receive a franchise
 - The possibility of profitability being an uncertainty
 - A certain level of risk is involved because of the dependence on the goodwill of the franchisor.
 - The franchisee is facing severe inconvenience because of the need of adherence to the franchise agreement.

Business Combinations

- It is a trend in the business field to act as business combinations.
- Joining up of two or more businesses and engaging in business activities can be introduced as 'Business Combinations'.
- Business combinations can happen in two ways
 - Mergers (Amalgamation)
 - Acquisitions

Mergers

- In a merger two or more companies are converted into a single business entity.
- This may be practiced as one company purchasing the assets and liabilities of another company or where the companies will terminate all their business activities and then join up to form a new company.

Acquisitions

- In an acquisition, one company purchases most of the ordinary share capital of the other company. The company purchasing the shares gains power of control.
- Business combinations through amalgamation or acquisition can take place in three ways.
 - Horizontal combinations
 - Vertical combinations
 - Conglomerate combinations

- The combination of two or more businesses engaged in similar business activities is known as a **horizontal combination**.

Examples: The combination of two footwear manufacturing companies

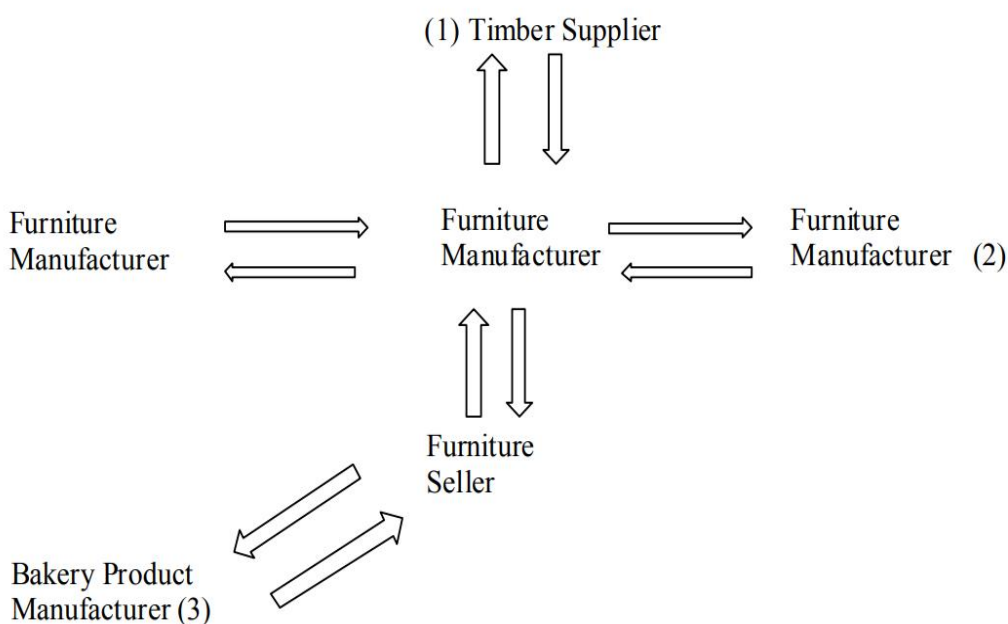
- ❖ MBSL Savings Bank Ltd, Merchant Bank of Sri Lanka PLC and MBSL Financial Services Ltd combined on 2015.01.01 to form the Merchant Bank of Sri Lanka and Finance PLC.
- ❖ Microsoft-a software development organization purchasing the computer software unit of Nokia.
- ❖ Opening Fair First Insurance company Ltd on 28th February 2017 amalgamating with the Union Assurance General company Ltd and Asian Alliance General company Ltd.
- ❖ DFCC bank and DFCC development bank combined to form DFCC bank PLC.
- Joining together with business units at different stages in the production/marketing process in the same industry is known as **vertical combinations**.

Examples:

- ❖ A shoe manufacturing company combining with a leather manufacturing company and a shoe marketing company.
- Joining together with businesses that are not in the same industry is known as a **Conglomerate combination**.

Example:

- ❖ A shoe manufacturing company combination with a biscuit manufacturing company



- (1) Vertical combination
- (2) Horizontal combination
- (3) Conglomerate combination

Public Sector / State Sector

- All the business entities carried out and controlled by the state or a local authority are known as state sector or public sector enterprises.
- Businesses are carried out by the public sector for the benefit of the public.

The state sector involves in business activities for the following reasons:

- ❖ To control the pricing levels in the market that make it impossible for the private sector to gain unreasonable profits.
- ❖ To prevent the emergence of monopolistic firms.
- ❖ To engage in business fields that are required for national defense.
- ❖ To provide essential goods and services to the public at reasonable prices.
- ❖ To minimize the wastage of natural resources through proper governmental planning and control of business.
- ❖ To maintain non-profit making large scale projects that the private sector does not wish to engage in.

Different categories of state sector business organizations are:

- ❖ State corporations / statutory boards
- ❖ Government departments
- ❖ State companies
- ❖ Businesses under the Provincial Councils and local authorities.

The following characteristics are obvious in a State Corporation

- ❖ Being established under a special or General Act
- ❖ Having a legality
- ❖ Full ownership or major ownership being with the government possession
- ❖ Being controlled by a Board of Directors appointed by the government.
- ❖ Capital is being generated through government loans, reinvestment of dividends and contribution of the public to debt capital.
- ❖ Having the main objective of providing an efficient service to the public at a minimum price.

Examples:

- Sri Lanka Transport Board
- Mahaweli Authority of Sri Lanka
- Sri Lanka Rupavahini Corporation
- Sri Lanka Petroleum Corporation

- ❖ State corporations are nominated by various names such as Board, Authority, Institution, Council, Bureau etc.
- ❖ Being subject to direct government control through a ministry.
- ❖ All activities are subject to the establishment code, financial regulations and government policies.
- ❖ Most probably they are organizations involved in the provision of services.
- ❖ Even though a department does not have legality it is necessary to present itself to the law in the official name of the head of the department.
- ❖ Allocation of necessary funds through the annual budget of the government.

Examples:

- Education Department,
- Agriculture Department,
- Health Department,
- Department of Government railways.

The following characteristics can be observed in a state company

- ❖ Being a company incorporated under the Companies Act as a public limited company.
- ❖ Excess 51% of the total capital belongs to the state organizations.

Examples:

- Sri Lanka Insurance Company Ltd
- Lanka Phosphate Company Ltd
- Sri Lanka Telecom
- Litro Gas Ltd
- State Trading Company

Companies under the control of a local authority should have the following characteristics

- ❖ Maintained under the provincial council, urban councils and Pradeseya sabha.
- ❖ Ownership being with the respective local government authority
- ❖ Necessary funds being allocated through the respective local authority or the central government
- ❖ Being administrated by the local government authority.